



President's Report

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President & CEO, PSE

July 6, 2024



01 | Stock Market Performance

02 | Financial Performance

03 | Strategic Initiatives

PSEi performance (as of Jul 4, 2024)



PSE DivY and Midcap index performance (as of Jul 4, 2024)



PSE DivY

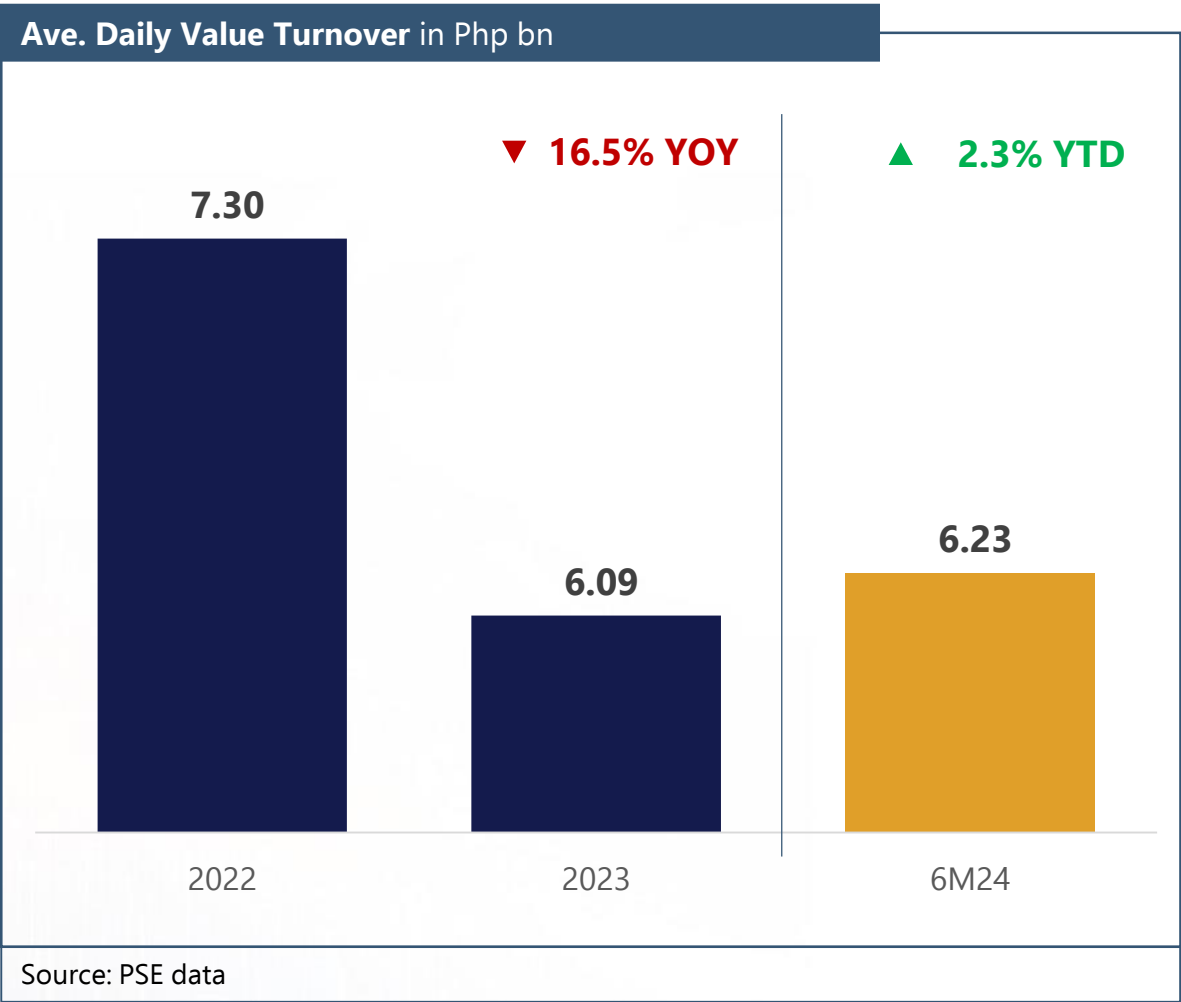
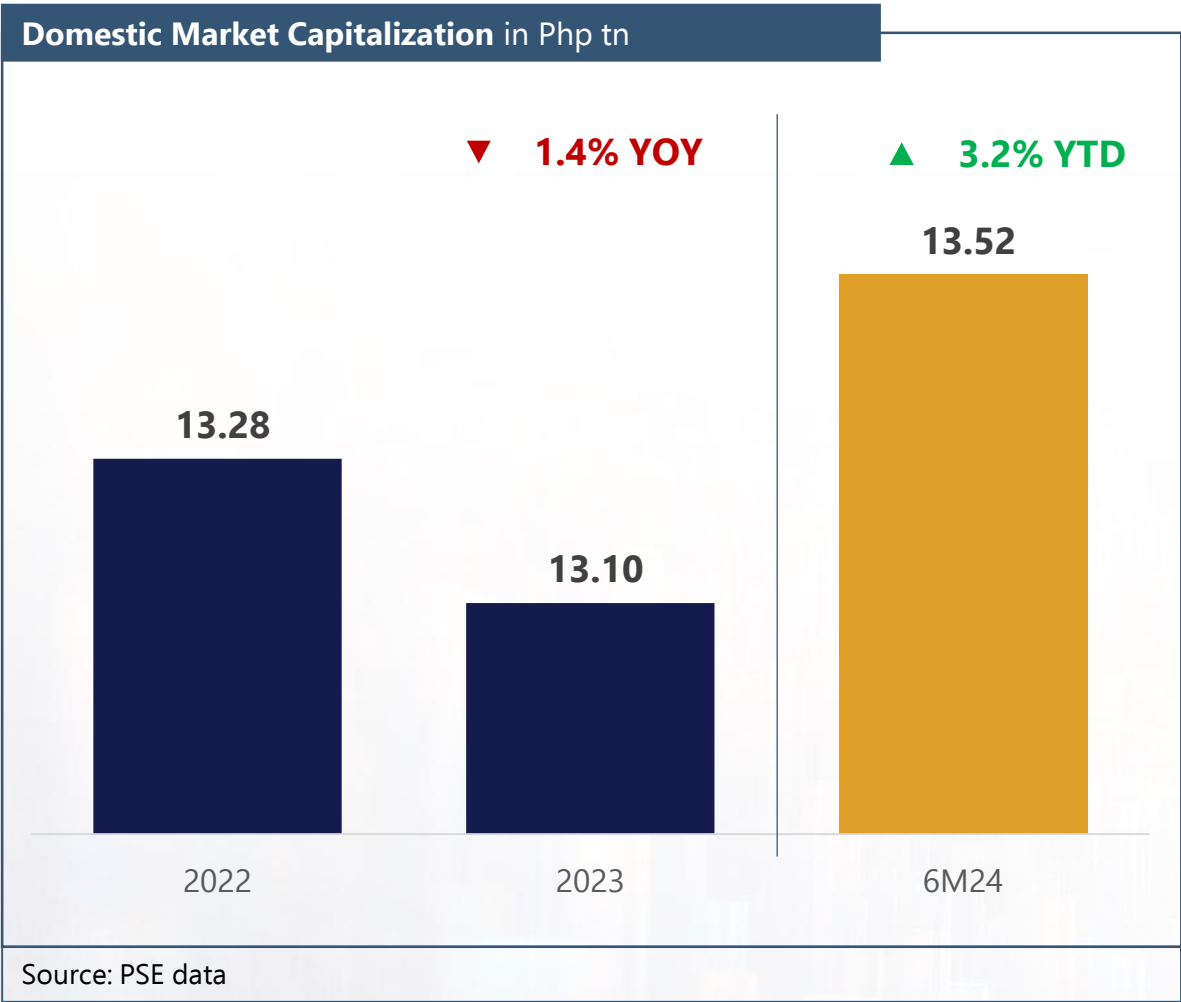
Focuses on the top 20 companies that consistently give high-yielding dividends



PSE MidCap

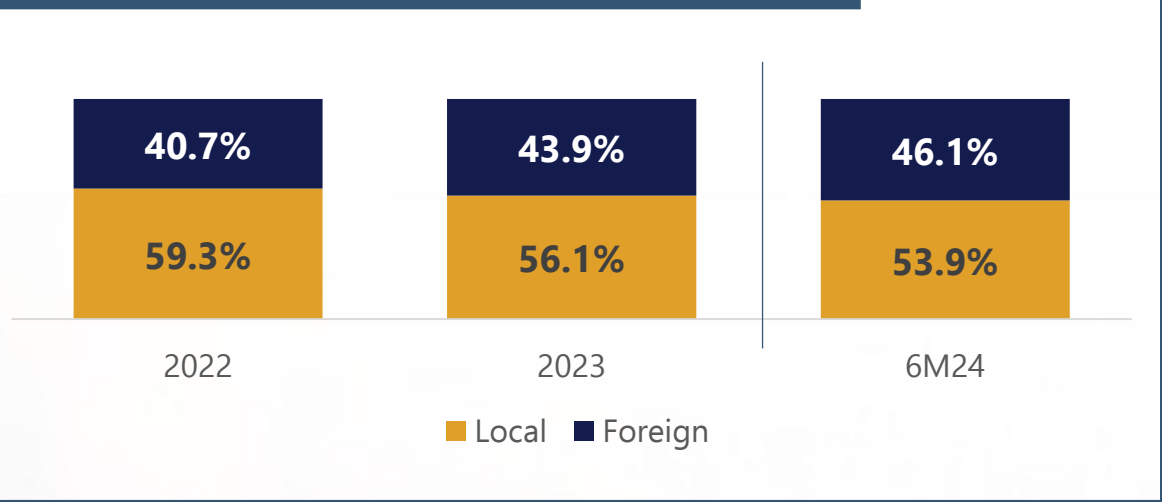
Designed to capture the performance of the top 20 mid-sized companies in PSE

Stock market indicators

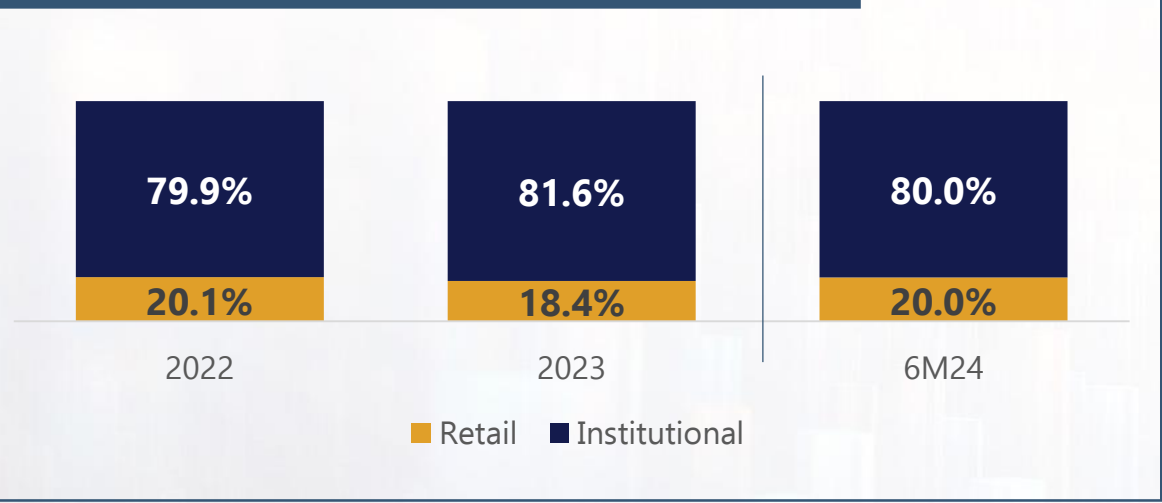


Stock market indicators

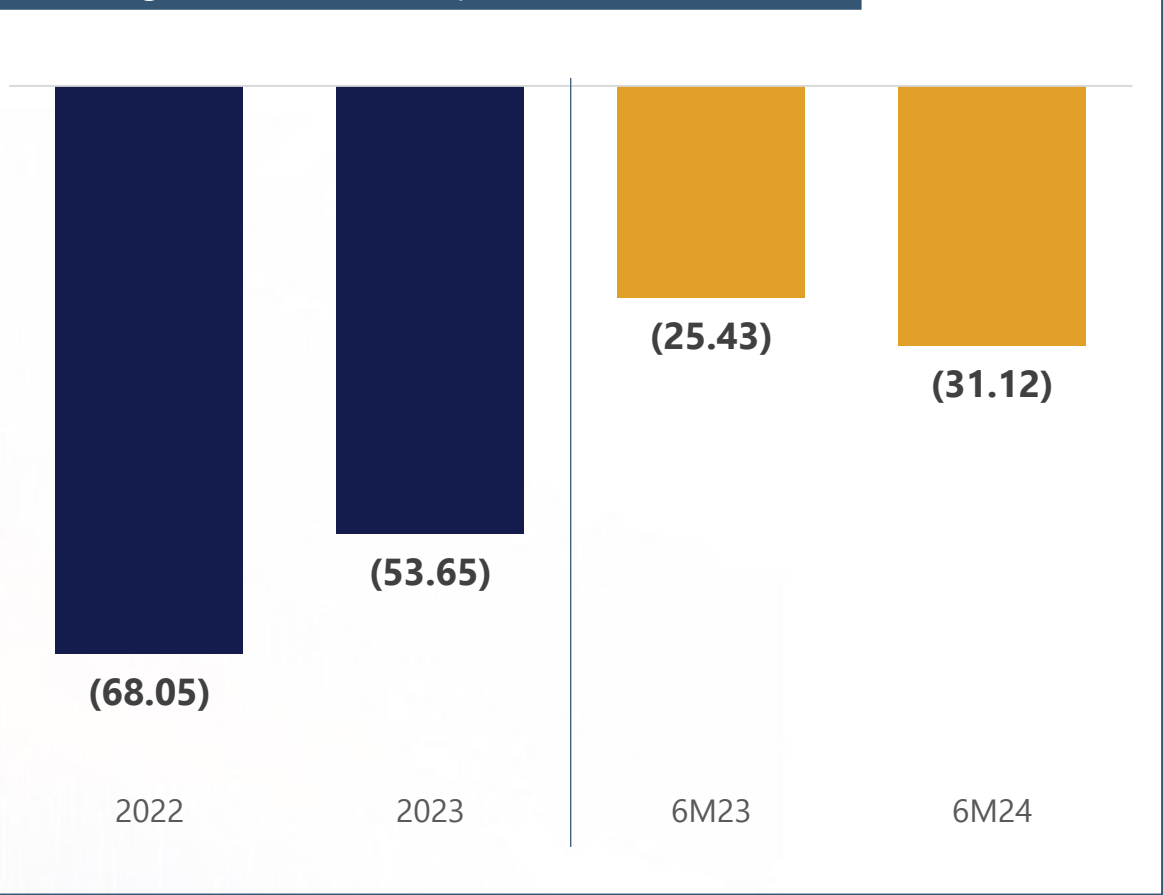
Local vs Foreign Transactions in %



Retail vs Institutional Trading in %

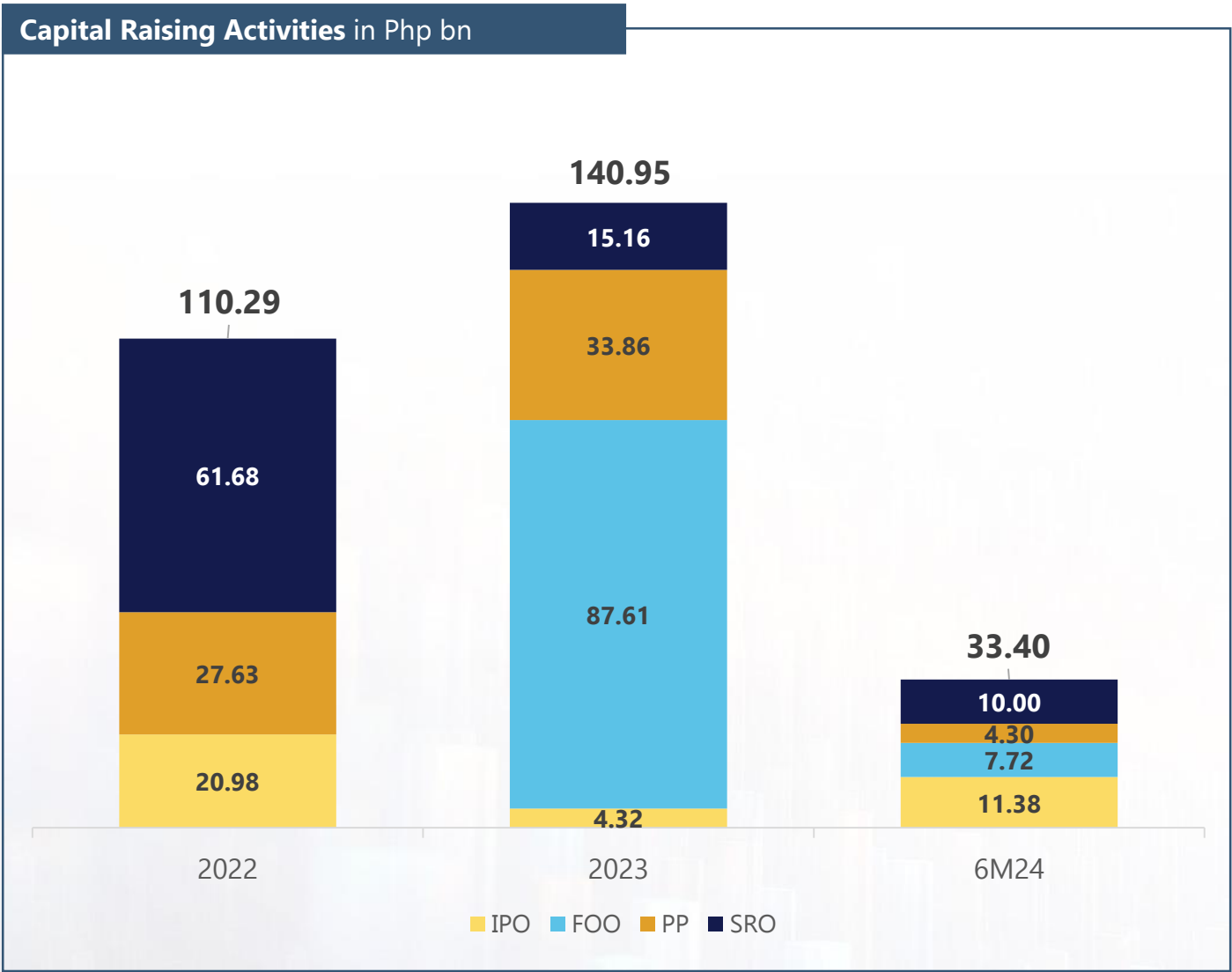


Net Foreign Transactions in Php bn



Source: PSE data

Capital raising activities



Forthcoming listings: Php37.78 billion

IPO



NexGen Energy Corp.

~Php579.6 million
July 16, 2024

FOO



Vista Land & Lifescapes, Inc.

~Php5 billion
August 29, 2024



DITO CME Holdings, Inc.

~Php4.20 billion
September 3, 2024



Jollibee Foods Corporation

~Php8 billion
September 20, 2024



Petron Corporation

~Php17 billion
September 2024



Arthaland Corporation*

~Php3 billion

*based on disclosures; no official filing with PSE

02 | Financial Performance

Consolidated financial performance

in Php mn	2022	2023	YOY % Change	3M23	3M24	YOY % Change
Operating Revenues	1,537.03	1,401.26	-8.8%	382.29	353.34	-7.6%
Total Expenses	707.29	750.22	+6.1%	172.71	174.99	+1.3%
Operating Income	829.75	651.04	-21.5%	209.58	178.35	-14.9%
Investment Income	31.44	243.85	+675.7%	49.33	113.62	+130.3%
Other Income	108.14	70.52	-34.8%	(10.19)	6.55	+164.3%
Net Income	739.15	766.31	+3.7%	203.16	242.38	+19.3%

PSE's net income improved by 3.7% to P766.31 million in 2023 and by 19.3% to Php242.38 million in the first quarter of 2024 **on account of higher investment income**.

Financial ratios and dividend history

	2022	2023	3M 2024*
Return on Assets (in %)	10.5	10.7	11.0
Return on Equity (in %)	13.3	13.9	16.4
Earnings per share (in Php)	9.12	9.47	9.93
Price per share (in Php)	158.00	170.00	192.90
Price to Earnings ratio	17.3x	17.9x	19.4x

** trailing twelve months*

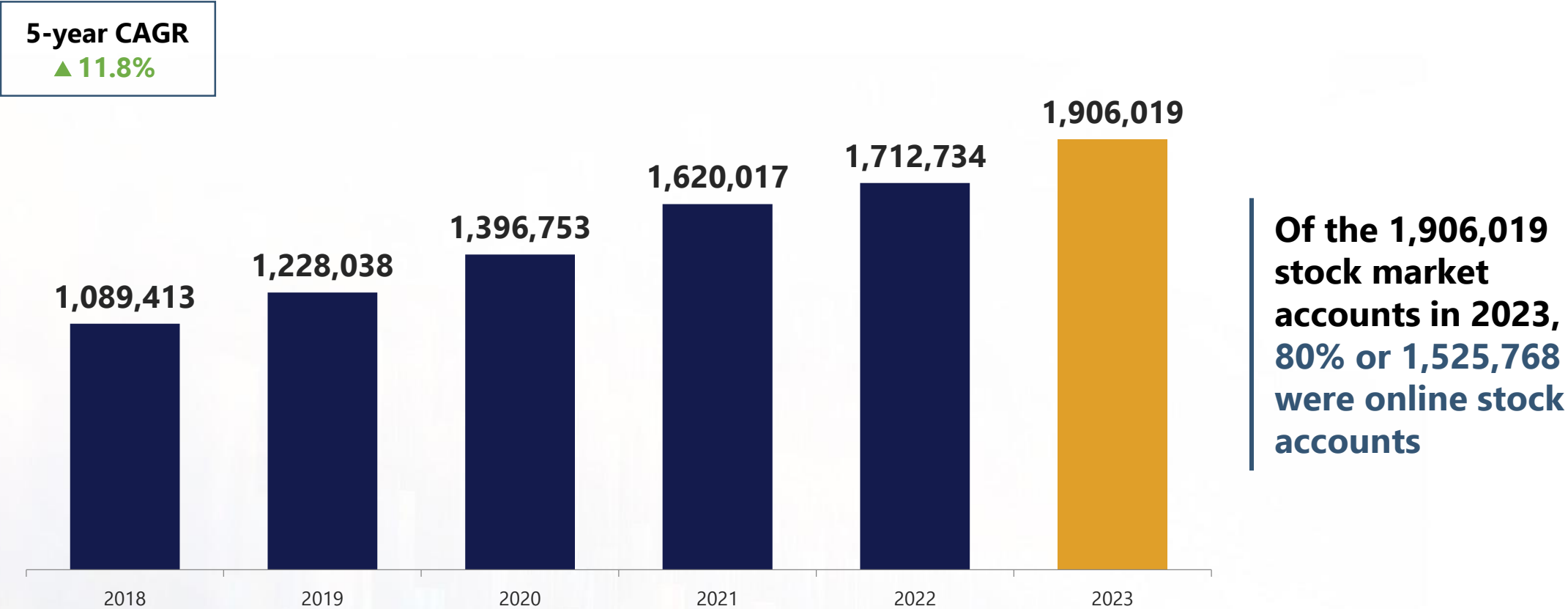
Dividend history			
Declaration date	Dividend per share (in Php)	Payment date	Dividend yield** (in %)
Feb 16, 2022	11	Apr 4, 2022	5.3
Mar 22, 2023	10	May 5, 2023	6.2
Feb 21, 2024	10	Apr 5, 2024	5.3

*** based on LTP on date of BOD approval*

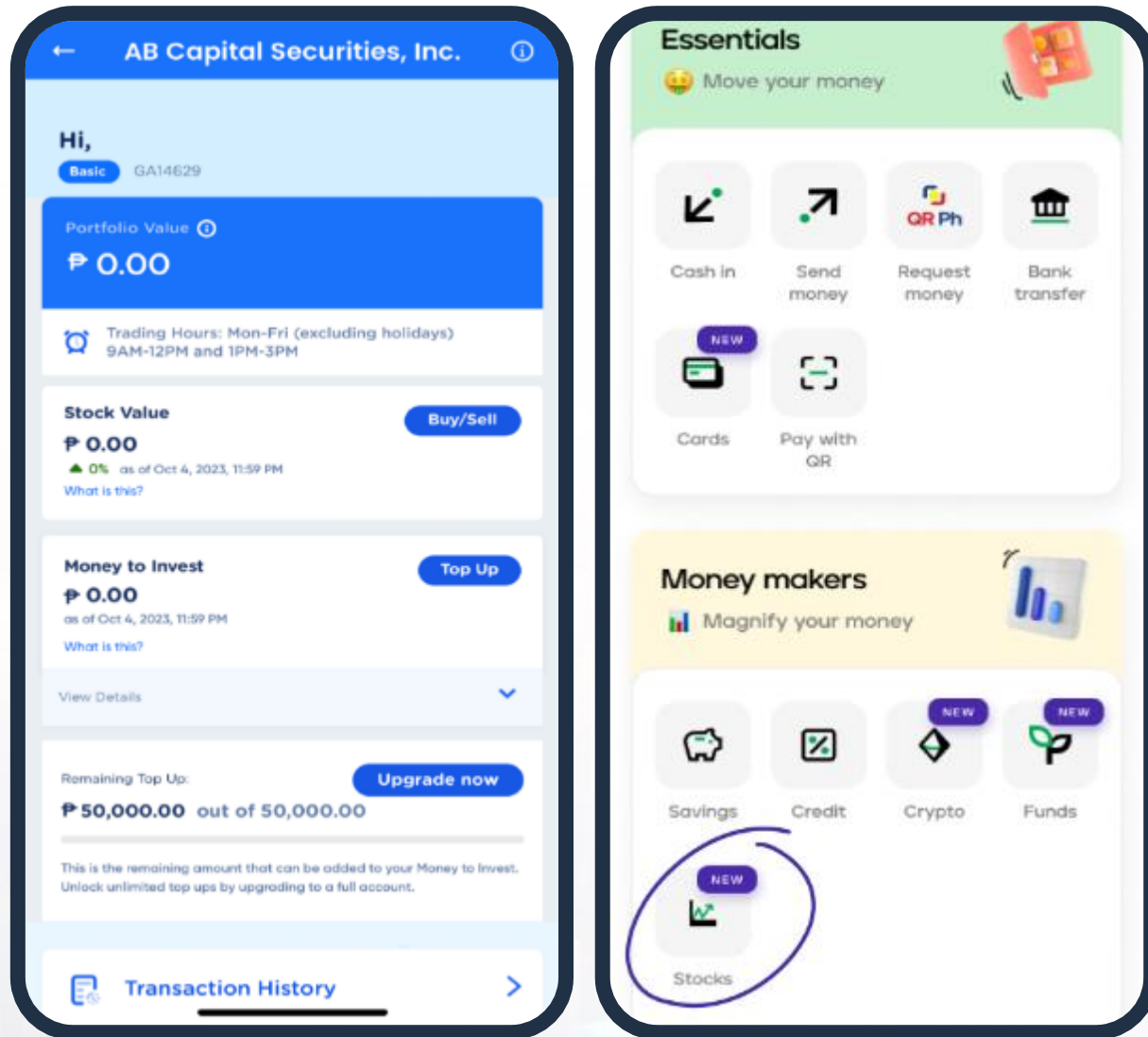
03 | Strategic Initiatives

Efforts to increase the investor base

Increasing the investor base



Expanding the investor base through fintech apps



Stock investing enabled via fintech platforms

PSE's initiative to enable stock trading on e-wallet apps such as GCash and Maya significantly increased retail participation.

Since its launch last August 2023, there are more than 500k users registered in GStocks PH.

Expanding the investor base through digital platforms

Increasing LSI participation through PSE EASy

PSE EASy is an online application that enables local small investors (LSI) to register and subscribe to the LSI tranche of an IPO and FOO.

Phase 2 Launched on March 7, 2024

PSE added new features such as the e-payment function, modification of subscriptions and single sign-on authentication for other Exchange platforms (e.g., PSE EQUIP and PSE Academy). The new features enable the full digitalization of the end-to-end investor journey.

45%

Average across 29 IPOs and two FOOs, five of which were fully subscribed

vs

10%

Average LSI take-up per IPO prior to PSE EASy



Mandatory LSI allocation for FOOs

April 16, 2024

The Exchange recently revised its consolidated listing and disclosure rules to make the allocation of FOO to LSI mandatory.

The allocation to the LSI shall be at least 10% of the entire IPO/FOO.



Expanding the investor base through digital platforms

PSE INVESTMENT EXPO 2023
March 09-11, 2023

SCAN TO REGISTER NOW

Event Partners

ACEN, AREIT, CITICORE ENERGY REIT, BDO, BPI Trade, UnionBank, First Gen, FILINVEST LAND, INC., SM PRIME, INQUIRER GROUP OF COMPANIES, ANG, COL FINANCIAL, FirstMetroSec, GCash, DoubleDragon CORPORATION, PREMIERE ISLAND, WILCON, DEPOSIT, RCRIT, FILRT-R, and others.

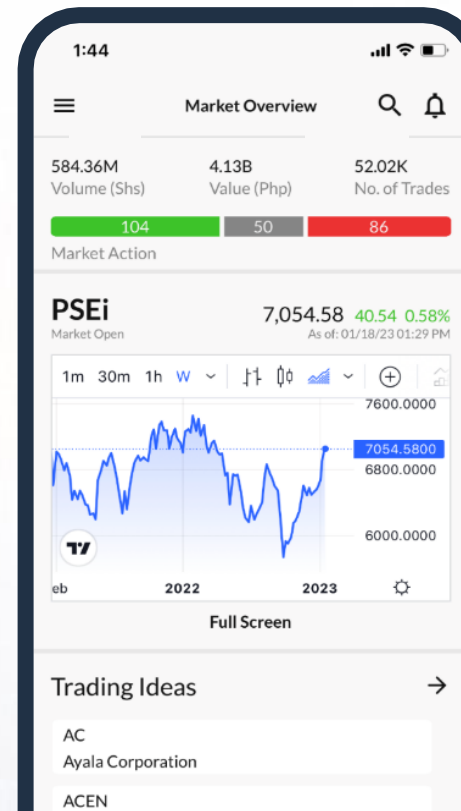
pseinvestmentexpo2023.vfairs.com

SCAN TO REGISTER NOW

Investment Expo (March 9-11, 2023)

A three-day online event covering a wide range of personal finance and investment-related topics for potential, new and existing investors to help them achieve their financial goals and build their investment strategies for the year.

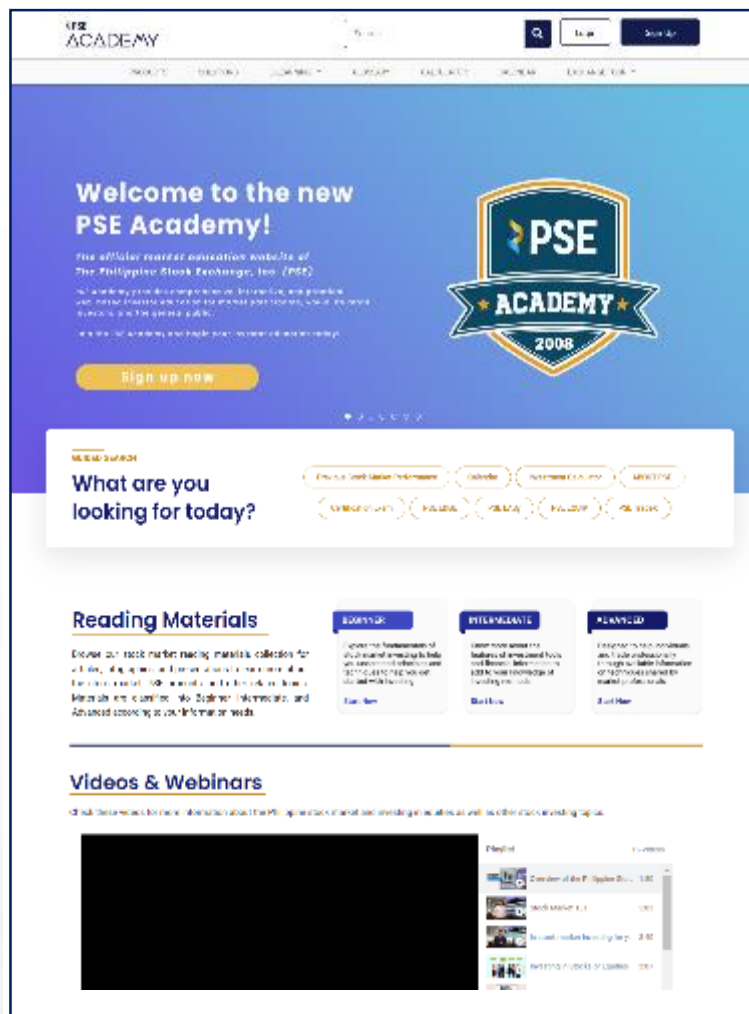
Reach: 5,476 registered participants; 17,123 webinar views



Launch of PSE's Data Analytics Platform (March 9, 2023)

Democratizes access to market data proving retail investors with comprehensive and reliable information on the Philippine stock market.

Market education



PSE Academy is an interactive web-based investor education platform for market participants, equity investors, and the investing public.

Online stock market course

The course will feature 18 learning modules covering beginner to advanced levels to broaden the user's stock knowledge. Users will also have the option to purchase a digital certificate of completion upon finishing the course.

Target Launch Date: Q3 2024

Stock trading game

The stock trading game will simulate real-life investing by gamifying the experience for potential and first-time investors.

Target Launch Date: Q3 2024

Certified Securities Specialist Course (CSSC)



With 41 runs and over 800 course graduates since 2007



Ongoing run: 15th PSE Ateneo CSSC
June 11 – December 5, 2024

Upcoming run: 7th PSE DLS-CSB SPaCE CSSC
July 13, 2024 – February 28, 2025

Stock market webinars

In 2023, PSE conducted a total of 11 webinars in 2023, which had an average of 146 participants per session.

For 2024, PSE has held three webinars in partnership with Philstocks Financial, Inc., DragonFi Securities Inc., and F.Yap Securities and saw an average of 272 attendees per session.

Collaboration with government institutions

The following initiatives with government bodies aim to tap a specific segment of the Philippine population



Partnership with DMW

February 29, 2024

PSE and the Department of Migrant Workers (DMW) signed an MOU to collaborate in financial literacy initiatives for the 2.3 million Overseas Filipino Workers. The respective families will also be included in the initiative.

On May 28, PSE presented its proposed financial literacy program to the Inter-Agency Committee on the Month of Overseas Filipinos.



Engagement with CSC

The engagement aims to fill in the financial literacy component of the Civil Service Commission's (CSC) financial education program for the 1.9 million civil servants by including topics on investments.

PSE will take part by providing educational materials and courses geared towards stock market investing.

Making stock market investing more affordable

Board lot amendment



PSE is awaiting SEC approval of the proposed amendments to the board lot structure to **make stock investing accessible and affordable to more retail investors** by reducing the current lot sizes

- ex. The maximum lot size of 1,000,000 will be reduced to the proposed 20,000 and the minimum lot size of 5 will be further reduced to 1



The proposed board lot structure **effectively reduces the minimum investment for stocks to Php100.**

Support for the passage of the Capital Markets Efficiency Promotion Act



The 0.6% stock transaction tax imposed on stock trading in the Philippine market will be **reduced to 0.1%** via House Bill 9277 or the Capital Markets Efficiency Promotion Act



As part of the Capital Markets Promotion Efficiency Act, dividend tax rate of foreign non-residents will be **reduced from 25% to 10%**

03 | Strategic Initiatives

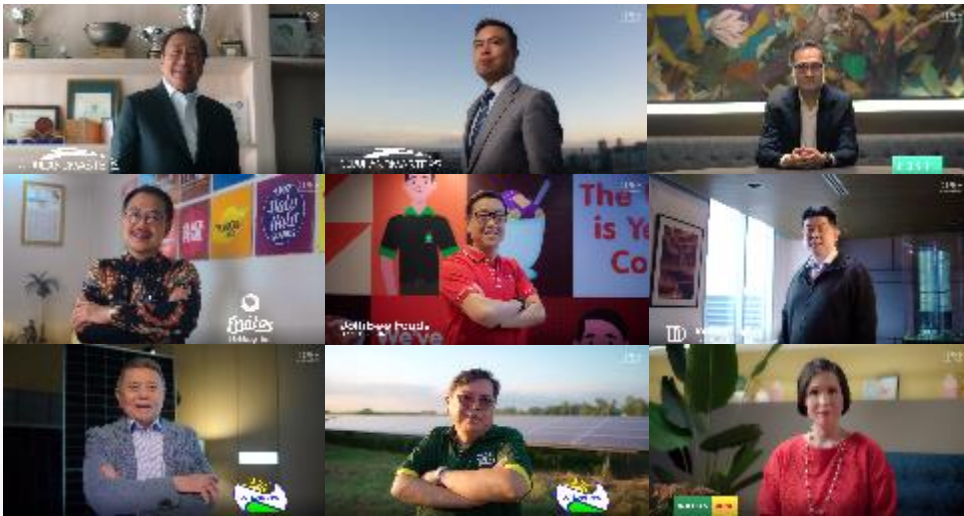
Initiatives for potential and existing issuers

Programs to drive new listings



Through the Listing Engagement and Assistance Program (LEAP), PSE conducts one-on-one sessions with SMEs to discuss growth plans and listing roadmap. The Exchange also connects prospective issuers with IPO advisers for the preparation of their IPO.

The PSE has a total of **71 companies** currently enrolled under its LEAP program as of end-June 2024, **seven (7)** of which are deemed ready to go public in less than a year.



Embracing the IPO Mindset

PSE hosted, last February 28, 2024, a forum dubbed **Road to IPO: Embracing the Growth Mindset** for its LEAP clients.

The event served as the launch of the Embracing the IPO Mindset video featuring CEOs of seven publicly listed companies (PLCs) who narrated why they chose to tap the stock market as a capital raising platform, how equity fund raising helped accelerate the growth of their companies, the advantages as well as the responsibilities of a PLC.



Programs to drive new listings



Corporate Connect Series

A collaboration campaign between PSE and select partner advisors and institutions to drive IPO listing interest from their clients that are deemed ready to go public.

March 1, 2023 – “Taking Your Company Public” (Unionbank, AB Capital Group)

May 4, 2023– “Going Public: Building Your IPO Story” (CloudArch Ventures)

May 11, 2023 – “Get Ready to List” (ACPAPP)



PSE entered into a partnership last July 17, 2023 with MOBILIST (Mobilising Institutional Capital Through Listed Product Structures), a flagship UK government programme that invests capital in, delivers technical assistance to, and builds partnerships with companies that wish to list in the Exchange.

CREC, listed on June 7, 2024, was the first IPO to receive an investment from MOBILIST.



PSE actively participates in SEC’s roadshow for capital formation across various parts of the country.

PSE participated in a total of 11 of these roadshows in 2023 and five (5), so far, for the current year.

Initiatives for listed companies



PSE STAR Investor Day

A platform for listed companies to communicate their plans and prospects to analysts and investors. The program aims to improve or increase trading volume of these companies.

The latest edition featured the Q1 2024 earnings reports of 12 PLCs, held on May 15-16, 2024. **The event garnered 459 attendees with 100-210 peak views per segment.**

A total of **60 PLCs** have participated in PSE STAR since 2022



Added features to the PSE STAR Program

PSE introduced the PSE Spotlight, a short feature on the companies participating in the PSE STAR Investor Day. The report, which offers a quick overview of a company, includes a description of its business, stock information, as well as answers to interview questions provided by the company's management team.

The interview questions typically revolve around the company's value proposition, business operations and landscape, challenges and opportunities, and strategic initiatives.

April 2024

PSE SPOTLIGHT



03 | Strategic Initiatives

Products and services

Short Selling Program

Launched: November 6, 2023

Salient Features

- All PSEi, MidCap, and DivY constituent companies and exchange traded funds are deemed Eligible Securities
- Maximum of 10% short interest ratio for each eligible security

SBL Enhancements

- **May 24, 2023** – Acceptance of Offshore Collateral (SEC)
- **July 21, 2023** – Approval of PDTC as a Lending Agent (SEC)
- **September 6, 2023** – Acceptance of GMSLA (BIR)

Enhancements to the Short Selling Program

Streamline MSLA Registration Process

- Get BIR approval to issue certificate of MSLA registration upon receipt of endorsement of the same by PSE and SEC

Registration of MSLA or GMSLA Executed Outside the Philippines

- Amend the time period allotted for registering an MSLA executed outside the Philippines

Facility for VWAP Trading

Go-Live Date: March 1, 2024

- Enables investors to execute trades using the day's full day Volume-Weighted Average Price (VWAP)
- Provides execution and reporting facility for VWAP trades in a fifteen (15) minute trading window

Products in the pipeline



Depository Receipts (DRs)

Target Launch: 2025

- Allows local investors to hold foreign securities without the need to trade directly in the foreign market
- Generates additional liquidity as issuers from other exchanges create DRs with Philippine listed equities as the underlying instruments

Derivatives

Target Launch: 2026

- Ongoing learning sessions and consultations with other stock exchanges and foreign market participants
- PSE plans to introduce index futures with PSEi as the underlying asset

Proposed acquisition of PDSHC



Objectives of the Acquisition

- The acquisition of Philippine Dealing System Holdings (PDSHC) aims to unify the fixed income and equities exchange in the country.
- Vertically integrate the depository's operations within the Exchange.
- Enhance risk management framework for capital markets

Benefits to the Market

- Enable PSE to develop products services at a more rapid pace.
- Improve visibility and ready sharing of information between the securities depository entity and the Exchange.

Status Update

- Preliminary discussions with PDS shareholders
- Ongoing valuation exercise

03 | Strategic Initiatives

ESG efforts

ESG initiatives



PSE becomes a member of the PSRC July 14, 2023

PSE became a member of the Philippine Sustainability Reporting Committee (PSRC) which aims to provide a roadmap toward the adoption of the IFRS Sustainability Disclosure Standards for general purpose financial statements in the Philippine market.

LEAP Insights October 10, 2023

PSE and S&P Global inaugurated the first LEAP insights session to showcase the vital importance of strong sustainability-related disclosures for SMEs preparing for their initial public offerings

PSE joins NZFSPA December 4, 2023

At the 28th Conference of the Parties to United Nations Framework Convention on Climate Change ("COP28"), the PSE was admitted as a member of the Net Zero Financial Service Providers Alliance ("NZFSPA"), a component alliance of the Glasgow Financial Alliance for Net Zero ("GFANZ"). As a member of the NZFSPA, the PSE is committed to push for net zero as a publicly listed company.

Capacity building on gender equality March 4 and 6, 2024

PSE co-hosted a virtual training for PLCs entitled "Gender Equality in Global Markets" to build awareness on the financial implications of gender inequality and improve corporate reporting and literacy on gender equality. The training was developed by the UN SSE, in partnership with the International Finance Corporation, UN Women, and Colombia University's Sustainable Investing Research Initiative.

MOU with ASEAN Exchanges on Interconnected Sustainability Ecosystem

The collaboration aims to explore the development of an interconnected ESG ecosystem to drive sustainable business practices among listed companies, including their supply chain, while creating business value in the capital markets.

Other matters

Internal Controls or Risk Management Systems

- The Board, through the Audit and Related Party Transactions Committee (ARPTC), monitors and evaluates the adequacy of the Exchange's internal controls by ensuring that a review of the Exchange's material internal controls, including financial, operational and compliance control and risk management, is conducted at least annually.
- The Internal Audit Group (IAG) performed financial, operations, and IT audit in accordance with the 2023 annual risk-based audit plan reviewed and approved by the ARPTC. Compliance with established standard operating policies and procedures of the Exchange, laws and regulations and other applicable standards and best practices are always part of the scope of review in all audit areas being audited. Audit areas are classified according to its criticality (high, moderate and low) as a result of the annual risk assessment conducted by IAG.
- SyCip Gorres Velayo & Co. conducted the audit of the 2023 financial statements of the Exchange and its subsidiaries.

Appraisal and Performance Reports

- In accordance with the Exchange's Manual on Corporate Governance, the Board conducts an annual self-assessment exercise of its performance, including the performance of the Chairman, individual members and committees.
- At yearend, the Exchange's Corporate Secretary distributes self-evaluation questionnaires to the directors and gives scores based on the directors' ability to participate in corporate policy making, and to demonstrate a high level of professionalism and integrity in the decision-making process, among others. The Corporate Secretary then submits the report to the board of directors for discussion.

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